SELECTED MARKETS RESEARCH

Equity fundamentals & valuation · Macro / FX · Risk process

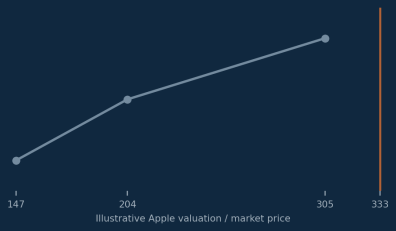
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01 **APPLE**
Ecosystem economics, valuation and market expectations

02 **USD / JPY**
Rate differentials, carry and policy convergence

03 **RISK PROCESS**
From discretionary decisions to structured review



Services improves earnings quality, but valuation leaves little room for error

INVESTMENT SUMMARY

Apple's June-quarter 2026 net sales reached **$109.4bn**, up **16%** year on year. The growth mix was led by iPhone (+22%) and Services (+12%), while Mac also expanded strongly. This keeps the ecosystem flywheel intact: installed-device activity supports recurring Services revenue, while premium hardware remains the largest revenue engine.

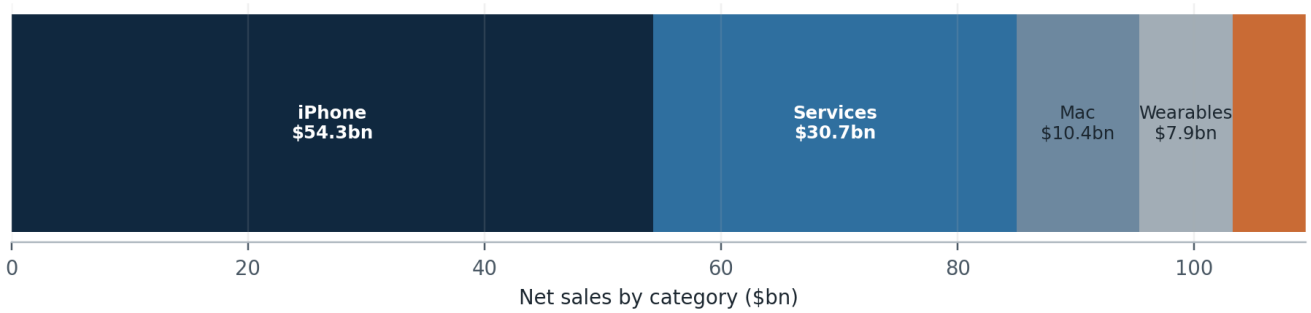
The quality of the mix matters as much as the top line. Services carried a **75.6%** gross margin versus **40.1%** for Products in Q3 2026. A larger Services contribution therefore supports margin resilience and raises the value of customer retention, cross-selling and ecosystem engagement.

The offset is valuation. At a 30 September market close of **$333.02**, the stock already reflects substantial confidence in long-run cash-flow growth and strategic optionality. The following valuation work is therefore framed as a sensitivity exercise, not a recommendation.

KEY FINANCIALS

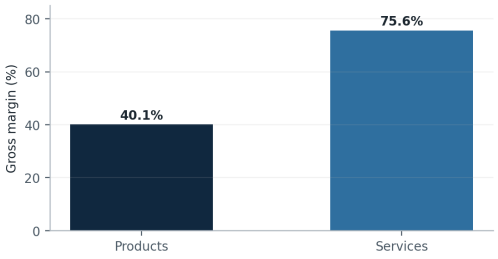
Q3 revenue	**$109.4bn**
YoY growth	**+16%**
Services revenue	**$30.7bn**
Services GM	**75.6%**
Products GM	**40.1%**
Q3 R&D	**$11.7bn**
AAPL close, 30 Sep	**$333.02**

Exhibit 1 · Q3 2026 revenue mix



The core debate is not whether Services is valuable; it is how much long-run growth and margin durability are already embedded in the market price.

Exhibit 2 · Gross margin by segment



Current valuation requires stronger assumptions than a conservative cash-flow framework

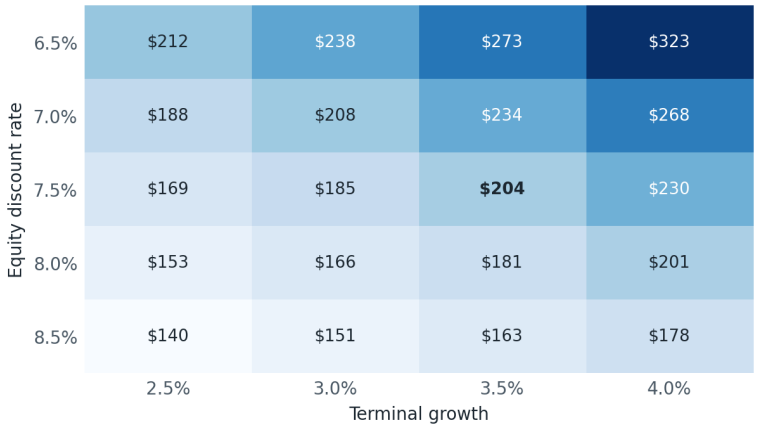
MODEL BASIS

INPUT	BASIS
FY2025 operating cash flow	$111.5bn
FY2025 capital expenditure	$12.7bn
Starting FCF proxy	**$98.8bn** (CFO - capex)
Shares outstanding	14.594bn (July 2026)
Projection period	5 years + Gordon-growth terminal value

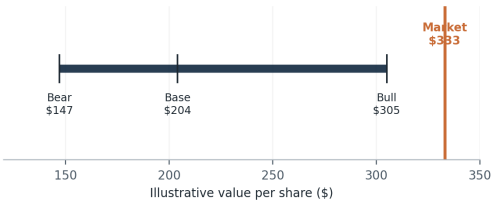
THREE-CASE VALUATION

CASE	FCF GROWTH	DISCOUNT RATE	TERMINAL GROWTH	VALUE/ SHARE
Bear	6.0%	8.0%	2.5%	$147
Base	**7.0%**	**7.5%**	**3.5%**	**$204**
Bull	9.5%	6.5%	3.5%	$305

Exhibit 3 · Base-case sensitivity ($/share)



VALUATION RANGE



At ~$333, the market is pricing either a lower discount rate, stronger long-run cash-flow growth, or strategic optionality beyond the conservative cases shown here.

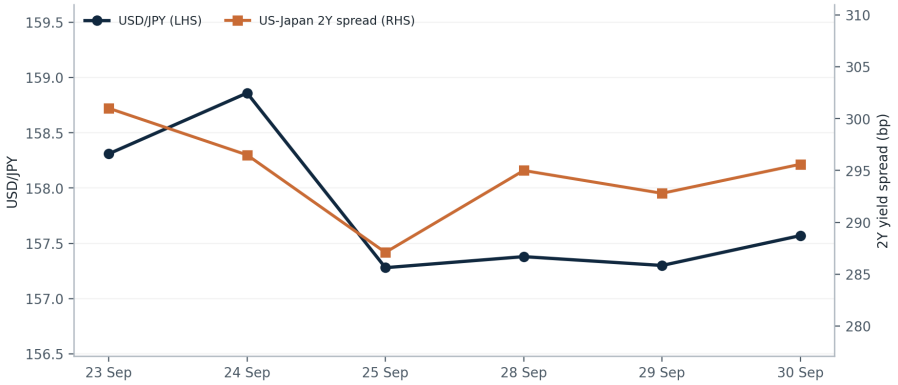
WHAT WOULD CHANGE THE VIEW?

- Faster-than-expected Services monetisation or new high-margin revenue pools.
- AI investment translating into measurable ecosystem engagement or pricing power.
- A sustained reduction in perceived equity risk / discount rates.
- Conversely, hardware saturation, regulatory pressure or weaker capital returns would make the valuation harder to support.

Method note: This is a simplified equity cash-flow DCF using CFO minus capex as a free-cash-flow proxy and an equity discount rate. It is designed to test sensitivity and valuation logic, not to replicate a full investment-bank FCFF/WACC model or provide investment advice.

Carry persists, but policy convergence is becoming the dominant risk

Exhibit 4 · USD/JPY and U.S.-Japan 2Y yield differential



Short window shown to connect the front-end rate differential with spot. This is not presented as a stable causal regression; it is a market-monitoring exhibit.

MARKET SNAPSHOT

U.S. 2Y	**4.88%**
Japan 2Y	**1.924%**
Spread	**295.6bp**
USD/JPY	**157.57**
Fed target	**3.75-4.00%**
BOJ guideline	**~1.25%**
U.S. CPI YoY	**3.4%**

Our read: the absolute spread still rewards holding dollars, but direction increasingly depends on where markets expect the front-end differential to move, not on today's carry alone.

U.S. side. The Federal Reserve raised its target range to 3.75-4.00% in September while describing inflation as elevated. August CPI was 3.4% year on year. That combination keeps the short end sensitive to inflation and labour-market surprises rather than guaranteeing a smooth easing path.

Japan side. The Bank of Japan's current guideline is to encourage the uncollateralised overnight call rate around 1.25%. A faster normalisation path would pull Japanese front-end yields higher and compress the carry advantage that has supported USD/JPY.

Positioning implication. A high spot level by itself is not a short thesis. The relevant question is whether policy expectations compress the front-end spread quickly enough to change hedging demand and carry economics.

The debate is the future spread, not today's carry

A macro thesis becomes useful only when it specifies what would make it wrong.

SCENARIO	RATES PATH	FX IMPLICATION	KEY TRIGGER
JPY-positive	Spread narrows faster	USD/JPY lower	Faster BOJ normalisation, softer U.S. inflation / growth, or a lower expected Fed path
Base	**Gradual convergence**	**Carry remains supportive; wider range**	**Both central banks move slowly and the front-end spread stays elevated**
USD-positive	Spread widens / stays wider for longer	USD/JPY higher	U.S. inflation reprices the Fed path upward or Japan normalises more slowly than expected

TRANSMISSION MECHANISM

1 **Policy expectations** reprice U.S. and Japanese front-end yields.

2 **Yield differential** changes the economics of carry and FX hedging.

3 **Flows and positioning** affect how strongly USD/JPY responds to the same macro surprise.

4 **Spot price** is the output; the thesis should be invalidated by the underlying macro mechanism, not by noise alone.

CATALYSTS TO MONITOR

- U.S. CPI, payrolls and Fed communication.
- BOJ meetings, wage/inflation evidence and JGB repricing.
- Changes in the 2Y yield spread and options-implied volatility.
- Official commentary around excessive FX moves or intervention risk.

INVALIDATION DISCIPLINE

Rather than anchoring on one target, the thesis is reassessed when the expected policy path, spread direction or catalyst sequence changes materially.

A structured process for separating thesis quality from trading outcome

The purpose of the tool is not to automate trade selection. It records the reasoning around a discretionary decision so that risk rules, execution and post-trade review can be evaluated consistently.

243 live trades reviewed **5+** core instruments **Python-assisted** journaling & review

MARKET CONTEXT → THESIS → CATALYST / INVALIDATION → POSITION SIZE → EXECUTION → JOURNAL → REVIEW / BACKTEST

DESIGN PRINCIPLES

- **Predefine invalidation before entry.** A thesis should have a condition under which it no longer holds.
- **Size from risk, not conviction.** Position size is a separate decision from directional confidence.
- **Separate outcome from process.** A profitable trade can still be a poor decision; a losing trade can still follow a sound framework.
- **Backtest rule changes before adoption.** Process changes should be tested against prior data rather than accepted because of one recent outcome.

WHAT THE TOOL RECORDS

Entry context	Macro / technical setup
Risk/reward	Defined before execution
Position size	Risk-based sizing input
Notes	Thesis, catalyst, invalidation
Review	Outcome + decision-quality notes
Backtest	Rule-change testing

The useful output is not a trading scoreboard. It is a repeatable record of why a decision was made, what risk was accepted and what evidence should change the process next time.

Personal live-account history used only to validate process scale; performance metrics are not the focus of this portfolio.

Research approach and primary sources

FRAMEWORK

Thesis → Evidence → Catalysts → Invalidation → Review. The aim is to make assumptions visible, connect them to observable evidence and state what would change the conclusion. Valuation and macro outputs are simplified educational models designed to demonstrate analytical process.

PRIMARY SOURCES

01 **Apple Inc.** Q3 FY2026 Form 10-Q, SEC: https://www.sec.gov/Archives/edgar/data/320193/000032019326000020/aapl-20260627.htm

02 **Apple Inc.** FY2025 Form 10-K, SEC: https://www.sec.gov/Archives/edgar/data/320193/000032019325000079/aapl-20250927.htm

03 **U.S. Treasury.** Daily Treasury Par Yield Curve Rates, September 2026: https://home.treasury.gov/resource-center/data-chart-center/interest-rates

04 **Federal Reserve.** FOMC statement, 16 Sep 2026: https://www.federalreserve.gov/newsevents/pressreleases/monetary20260916a.htm

05 **Bank of Japan.** September 2026 monetary-policy releases / current guideline: https://www.boj.or.jp/en/mopo/mpmdeci/mpr_2026/

06 **U.S. Bureau of Labor Statistics.** CPI, August 2026: https://www.bls.gov/news.release/cpi.htm

07 **Market data.** Investing.com historical USD/JPY and Japan 2Y yield; StockAnalysis / Investing.com AAPL close, 30 Sep 2026.

08 **Personal trading records.** MetaTrader 5 / Exness account history used to verify 243 live trades and the scale of the review process.

DEVELOPMENT NOTE

AI tools supported implementation, debugging and document iteration. Research logic, source selection, model assumptions, risk rules, interpretation and final review were independently defined and checked by the author.

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